

undoubtedly disquieting balance-sheet developments between the end of 1918 and the end of 1920.

The companies included in the foregoing computation were American Can, American Smelting and Refining, American Woolen, Baldwin Locomotive Works, Central Leather, Corn Products Refining, General Electric, B. F. Goodrich, Lackawanna Steel, Republic Iron and Steel, Studebaker, United States Rubber.

We append also the individual figures for United States Rubber, in order to add concreteness to our illustration:

U. S. Rubber (1919-1920)

Earned for common stock:

1919	\$12,670,000	Per share: \$17.60
1920	16,002,000	19.76
Total	<u>\$28,672,000</u>	<u>\$37.36</u>
Cash dividends paid	8,580,000	
Stock dividend paid	9,000,000	
Transferred to contingency reserve	6,000,000	
Adjustments of surplus and reserves	<u>cr. 2,210,000</u>	
Net increase in surplus and miscellaneous reserves		\$7,300,000

Balance Sheet (000 omitted)

Item	Dec. 31, 1918	Dec. 31, 1920	Increase
Plant and miscellaneous assets (net)	\$131,000	\$185,500	\$54,500
Inventories	70,700	123,500	52,800
Cash and receivables	49,500	63,600	14,100
Total assets	\$251,200	\$372,600	\$121,400
Current liabilities	\$ 26,500	\$ 74,300	\$ 47,800
Bonds	68,600	87,000	18,400
Preferred and common stock	98,400	146,300	49,900
Surplus and miscellaneous reserves	57,700	65,000	7,300
Total liabilities	\$251,200	\$372,600	\$121,400
Working capital	93,700	112,800	19,100
Working capital excluding inventory	23,000	10,700(d)	33,700(d)